volume as the bump forms. Price quickly reaches a low of 33.63 before rebounding.

Having sliced through the trendline and moving just a bit higher, price throws back and follows the trendline lower. Price following a trendline lower is not unusual, but what is unusual is that price does not continue its climb. Instead, it drops off the end of the trendline and plummets. By late June, the stock slips under $20 a share, less than half what it was at the high.

Why did the BARR fail? This formation is not a perfect example of a BARR bottom, but few patterns are. In this case, the bump height is less than twice the lead-in height. However, the height depends on how the trendline is drawn. Starting the pattern (drawing the trendline) from the peak at point A, the bump to lead-in height is about 2 to 1. The new trendline would also touch the peak at B. So, if you wait for price to move above the new trendline before investing, you would not purchase this stock. Sometimes it is wise to draw alternative views just to see how the chart pattern behaves.

In the example as I have drawn it, the stock fails because price does not rise more than 5% after the breakout. It's what I call a 5% failure.

Table 14.2 General Statistics

Description	**Bull Market**	**Bear Market**
Number found	1,099	282
Reversal (R), continuation (C) occurrence	52% R, 48% C	67% R, 33% C
Reversal, continuation performance	52% R, 58% C	34% R, 36% C
Average rise	55%	35%
Dual bump average rise	61%	43%
Standard & Poor's 500 change	16%	1%
Days to ultimate high	326	124
How many change trend?	67%	59%